APL Apollo Tubes Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

India's largest maker of structural steel tubes: hollow sections, rust-proof pipes and roofing sheets sold through dealers to builders, fabricators and factories. It buys steel coil, shapes it and earns a spread per tonne, with a brand premium over smaller rivals. It also has a plant in Dubai.

Number	Value	What it means
Market cap	Rs 61,063 cr	What the market values the whole company at.
Q2 FY27 sales volume	960,000 tonnes	Tonnes shipped in the quarter, a record.
Q2 FY27 EBITDA per tonne	Close to Rs 6,000	Operating profit on each tonne, up from about Rs 4,000 in FY25 as it pushed price and value-added products.
ROCE	About 22% (Screener), 37% for FY26 per management	High return on the money in the business.
Working capital	Zero days	Dealers pay fast and suppliers give credit, so growth doesn't eat cash.
Stock P/E	About 83x	A very rich price for a steel-tube maker.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY25	29 Oct 2024	Yes (key passages)
Q3 FY25	20 Jan 2025	Yes (key passages)
Q4 FY25	May 2025	Yes (key passages)
Q1 FY26	Jul 2025	Yes (key passages)
Q2 FY26	Nov 2025	Yes (key passages)
Q3 FY26	22 Jan 2026	Yes (key passages)
Q4 FY26	4 May 2026	Yes (key passages)
Q1 FY27	3 Aug 2026	Yes (key passages)
Q2 FY27	26 Oct 2026	Yes, read in full ★

Nine calls across two years; older calls back to 2016 are on Screener.

Latest concall highlights: Q2 FY27 (call held 26 Oct 2026)

- Best quarter ever: 960,000 tonnes, record EBITDA and profit, despite the Dubai plant running at about 40% because of the Middle East disruption and a domestic steel shortage.
- APL Apollo-brand and roofing volumes grew 20% in the first half. Low-margin products were cut, which is why total volume rose only about 4% in H1 against a 15% guide.
- EBITDA per tonne near Rs 6,000. FY27 guide: absolute EBITDA up 20%, on track; more if Dubai recovers.
- Capacity target 7 million tonnes of greenfield and brownfield plus 1 million tonnes of debottlenecking. Roofing capacity about 700,000 tonnes a year.
- Zero working capital days; net cash up 15% by September. Free cash dipped in H1 on capex advances and dividend.
- Freight and power costs cut further; employee cost per tonne waits on volume.

Business mix & capacity

Domestic vs export: Mostly India. Dubai plant and exports from India are both down this year: the UAE plant runs at about 40% and container freight is costly.

Capacity use: Indian plants busy; Dubai at about 40%. Roofing running at about three quarters of its 700,000 tonnes a year.

3. Earning Trigger thesis

The driver is pricing power: the APL Apollo brand now carries a Rs 3,000-4,000 a tonne premium that customers have accepted, plus more value-added roofing and Raipur products. That lifted the spread per tonne by half in two years. Volume is the weak spot, hit by the Dubai disruption and steel shortages, and the stock already prices in a lot.

Trigger	What management said	Evidence so far	Time horizon	Strength
Brand premium	Price hike of Rs 2,000-3,000 a tonne would stick	Held for over a year; spread from about Rs 4,000 to near Rs 6,000	Done	Strong
Value-added mix	Roofing and Raipur heavy sections grow faster	Branded and roofing up 20% in H1	Ongoing	Strong
Volume growth	15% in FY27	4% in H1; guide now only for profitable lines	FY27	Weak
New capacity	7 million tonnes plus debottlenecking	Capex on track	FY28	Moderate

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Already net cash
New business	No	
Margin up	Yes	EBITDA per tonne close to Rs 6,000 on better pricing and value-added mix (26 Oct 2026)
New management	No	
New capacity	Yes	Capex on track to 7 million tonnes plus 1 million of debottlenecking (26 Oct 2026)
Big orders	No	
Turnaround	No	
Promoter buying	No	

The single concrete driver: A brand premium of a few thousand rupees a tonne plus more roofing and value-added tubes lifts profit per tonne even when volume stalls.

3c. Margin bridge

EBITDA per tonne is near Rs 6,000 against about Rs 5,000 a year ago and under Rs 4,000 in FY25. The APL Apollo brand price rise held, roofing and heavy sections grew, and low-margin products were dropped. Management treats it as the new normal. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Oct 2024	3.2 million tonnes in FY25	3.1 million tonnes	Partly
Jul 2025	FY26 volume growth 10-15%, EBITDA above Rs 4,500 a tonne	Volume up about 11% in nine months, EBITDA above Rs 5,000	Delivered
Jan 2025	Brand price rise sticks	Premium accepted for 12+ months	Delivered

Period	What was promised	What actually happened	Verdict
May 2026	FY27 volume growth 15%	H1 about 4%; guide narrowed to branded lines	Missed
Aug 2026	FY27 EBITDA up 20%	On track at half year	Too-early

Narrative drift: The story moved from volume first (FY24-FY25, kill the competition) to profit per tonne first (FY26 onward). The shift was explained and the margin promises have been kept. Volume targets keep missing, though, with outside events blamed each time.

5. Bottom line

Durable earning trigger? → YES

Pricing power and a richer mix are already in the numbers, and new capacity is coming. Volume is the soft part.

Management consistent? → MAYBE

Profit and cash promises are kept, but volume guidance has missed more than once and the targets get reframed.

6. Checkpoints for next quarter

- FY27 EBITDA growth stays on track for the 20% guide
- EBITDA per tonne holds near Rs 6,000
- Branded and roofing volumes keep double-digit growth in H2

This is not investment advice. Do your own due diligence.